faster next fiscal. In addition, domestic demand could come under pressure as interest rate hikes get transmitted more to consumers, and the benefits from a revival in contact-based services such as retail and hospitality fade, it said. In November, Moody's cut its India GDP growth forecast for 2022 to 7 per cent from its earlier estimates of 7.7 per cent. RBI, too, has revised its GDP growth rate estimates for 2022-23 to 7 per cent from 7.2 per cent. Meanwhile, in the second quarter of this fiscal, the economy grew at 6.3 per cent, lower than the expectations of most analysts.

The general narrative about India is that it is still a bright spot in an otherwise gloomy horizon, especially at a time when many countries in the developed world, including the US, are under the shadow of a recession. But there are issues that India needs to be concerned about. The country's growth momentum will be affected by the fading effects of post-Covid reopening, coupled with higher borrowing costs, as per the Goldman Sachs report. "Growth will likely be a tale of two halves, with a slower first half as the reopening boost fades, and monetary tightening weighs on domestic demand. In the second half, growth is likely to re-accelerate as global growth recovers, the drag from net exports diminishes, and the investment cycle picks up," it said.

D.K. Joshi, chief economist with Crisil, attributes the reasons for the downward revision of the full-year GDP to three factors. In large part, the downward revision in this year's estimates is because the slowdown in the global economy has already begun to impact India's exports, he says. In the first quarter (April-June), exports had grown by 24.8 per cent, only to fall to a mere 2.8 per cent growth in the second quarter. In October, exports were 16.7 per cent lower than last year. Second, the RBI has been raising rates, the results of which will be felt next year. "These will impact growth, and the effects will spill over. It will not impact government investment," he says. Third, there are still no signs of a broad-based revival of private investment. Infrastructure-linked sectors such as steel and cement are seeing some investment but not consumer goods. "On that front, investments are on a wait-and-watch mode. Unless the uncertainty comes down, particularly on the global front, the private sector won't be excited enough to invest," Joshi told INDIA TODAY.

THE KEY FACTORS

- Slowing global economic outlook, a possible recession
- Prolonged war in Ukraine; likely to intensify in coming months
- High inflation that is denting consumer spending
- Lower exports from India that will widen the trade deficit
- A series of interest rate hikes by the RBI to cool inflation, which is hurting demand
- Low capacity utilisation, leading to sagging private investment

He says that there are two risks to the global economy. The first is that the Russia-Ukraine conflict is becoming more painful, and the second, inflation in advanced countries is showing no sign of coming down. "Central banks will therefore raise interest rates more than they should," he says. The International Monetary Fund (IMF) had forecast in October that one-third of the globe will witness a recession this year or the next. "This year's shocks will reopen economic wounds that were only partially healed post-pandemic," wrote IMF economic counsellor Pierre-Olivier Gourinchas in a blog post accompanying the fund's World Economic Outlook. The three biggest economies—the US, European Union and China—will continue to stall, he warned. "The worst is yet to come and, for many people, 2023 will feel like a recession," Gourinchas wrote.

To be sure, there have been a few positives for the domestic economy that point to a revival post the Covid-19 pandemic. Monthly Goods and Services Tax (GST) collection has been more than Rs 1.4 lakh crore for eight months in a row. September saw 83 million e-way bills being generated, compared to 77 million in August—an indicator of better movement of goods and commercial activity in general. Industrial production too rose 3.1 per cent in September, surpassing expectations. "The question is whether consumption will be maintained in the remaining six months of the year. That will impact the overall growth prospects," says Madan Sabnavis, chief economist with the Bank of Baroda.

There is also a lag in spending at the state level compared to what the Centre has spent. "Look at what the central government is spending and see what ratio of the budget has been exhausted in the first month. The Centre has done fairly well, closer to 40-45 per cent. But states have done only 20-25 per cent," he says. States are deferring expenditure so that they don't slip on their fiscal deficit numbers, and will probably start investing only towards the end of the year, he adds.

Moreover, falling exports are leading to a widening of the trade deficit (the difference between the value of our exports and imports), which, in turn, will impact the growth numbers. A definite way to ensure better growth is a sharper focus on job creation, which is critical to boosting consumption on a sustained basis. One way to do this, say experts, is by reviving manufacturing as that will lead to jobs with higher income, necessary for propping up demand. That will have to be a thrust area when finance minister Nirmala Sitharaman presents the next Union Budget, they say. ■